

F2Q26 Earnings Preview – A Clearing Event Towards \$300?

April 20, 2026 02:19 AM GMT

Memory inflation will pressure margins, but this is well-known, and iPhone revenue upside sets up for a better than feared June quarter guide. Favorable seasonality, a critical WWDC vs. low expectations, the upcoming Foldable, and supportive FCF/valuation make Apple a tactical long into earnings.

Key Takeaways

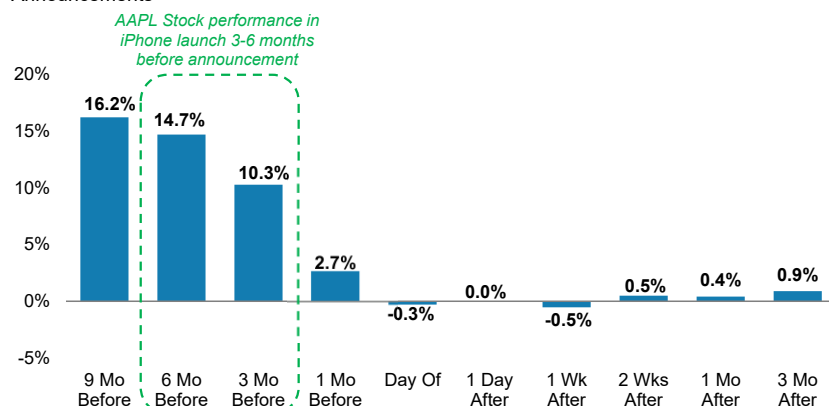
- We see modest (1-2%) upside vs. Consensus in March quarter revs/EPS given revenue upside is limited by supply constraints.
- For the June quarter, we are 5% above Street revs but 170bps below Street GMs, leading to largely in-line EPS estimates (\$1.74), a better-than-feared outcome.
- A better-than-feared F3Q guide can help positively reset attention into a historically seasonally strong period of outperformance...
- ...supported by (1) robust supply chain checks/share gains, (2) WWDC on June 8th, and (3) the new iPhone launch in September.
- Remain OW-rated with \$9.76 of EPS in FY27 (5% above Street), supporting our \$315 PT.

We expect gross margin downside to be more than offset by revenue upside in the June quarter guide, making for a better than feared earnings and a clearing event into WWDC this June, and the iPhone launch in September. While our gross margin forecast remains below Consensus given rising memory cost pressure, continued strength in iPhone, Mac, and Services revenue should more than offset this pressure and result in a June quarter implied EPS guide in-line with Street estimates (~\$1.74) – a better-than-feared outcome against relatively low expectations. **More importantly, we believe this setup can reset the Apple narrative into a seasonally strong period of outperformance**, supported by (1) robust (15% avg. per quarter through FY27) revenue growth driven by share gains across multiple markets, (2) a favorable seasonal window for Apple ownership, historically driven by positive estimate revisions and multiple expansion into a new iPhone launch ([Exhibit 1](#)), (3) an upcoming WWDC where expectations are low, but where a meaningful Siri redesign could be a meaningful sentiment tailwind (i.e. see WWDC 2024), (4) a new iPhone launch this fall that brings genuine new product excitement (i.e. iPhone Fold), and (5) a thematically favorable backdrop where Apple's robust FCF generation stands out positively vs. rising megacap capex. At 28x next year GAAP EPS – roughly the midpoint of Apple's historical 24-34x valuation range – valuation is neither cheap nor taxing, but with our ~\$10 of FY27 EPS 5% above Consensus, we see a path to \$300 for Apple shares by this September, driven by modest multiple expansion and more robust positive EPS revisions.

Key risks to our call include: (1) memory costs that could prove worse than expected even relative to our below Street GM assumptions, (2) Apple not raising pricing with the iPhone 18 launch (downside to FY27 earnings power), (3) non-normal F2H seasonality given a staggered iPhone launch, and (4) demand deterioration if higher prices and/or macro uncertainty pressure consumer spending. **Taken together, these risks keep Apple from being our Top Pick today, but they do not outweigh what we see as an increasingly attractive long setup into the September iPhone launch.** Reiterate OW rating with an unchanged \$315 PT.

Exhibit 1: AAPL shares historically outperformed S&P 500 by 10-15 points 3-6 months ahead of an iPhone launch

Average Apple Stock Performance vs. S&P 500 Before & After iPhone Announcements

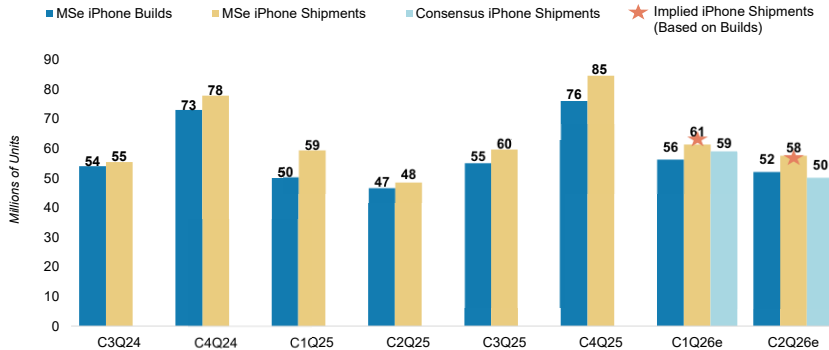


Source: FactSet, Morgan Stanley Research

First, we continue to see strong iPhone sell through in March, above-seasonal builds in June, and a significantly above-Consensus CY26 iPhone build forecast from the supply chain. We expect over \$57B (+22% Y/Y) of iPhone revenue in the March quarter, driven by robust demand globally, but highlighted by >20% Y/Y iPhone sell-through growth in Greater China. That said, component shortages – most notably TSMC’s 3nm wafers – cap Apple’s March quarter revenue upside, and shift high-end iPhone demand into the June quarter, supporting better-than-seasonal iPhone builds into F3Q ([Exhibit 2](#)) and our expectation for a third consecutive quarter of ~20% Y/Y iPhone revenue growth in the June quarter, 6% above Street (MS at 61M iPhone shipments vs. ~50M Consensus). Beyond the near-term, checks from our Greater China Technology Hardware team [highlight iPhone builds up HSD % Y/Y in CY26](#), consistent with our own single source component supplier checks pointing to 265-270M iPhone builds in CY26 (vs. ~252M shipments in CY25), and aligning with our positive [2025 AlphaWise Smartphone Survey](#) ([Exhibit 3](#)). For context, we conservatively forecast 252M iPhone shipments in CY26, 1% above Consensus but 10-15M units below the supply chain, with every 1M units of iPhone upside equating to ~2c of EPS upside, all else equal. All in, iPhone demand remains robust, even into a seasonally slower June quarter, and accounts for the most significant revenue upside vs. Street expectations.

Exhibit 2: Our 61M Mar Q shipments are 1M below build-implied shipments of 62M but are ~2B above Consensus, while our Jun Q iPhone shipment estimates of 57.5M are now aligned to what are implied by builds, 7.5M (or 15%) higher than Consensus.

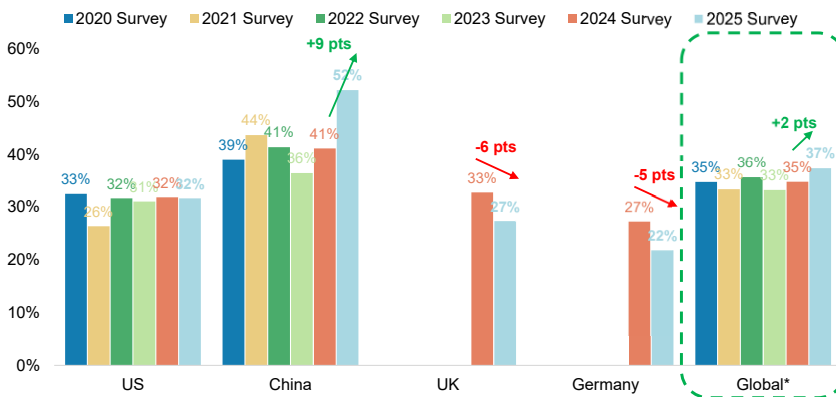
MSe iPhone Builds vs. MSe iPhone Shipments (with Consensus)



Source: Company data, IDC, FactSet, Morgan Stanley Research estimates

Exhibit 3: iPhone upgrade rates improved 9 pts Y/Y in China, driving global iPhone upgrade intentions to an all-time Survey high.

iPhone Upgrade Intentions (% of Extremely Likely to Purchase an iPhone in the NTM)

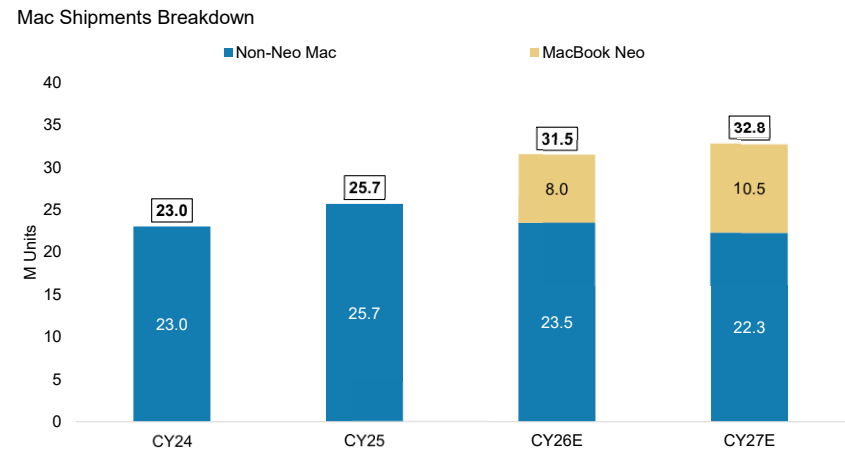


Source: AlphaWise, Morgan Stanley Research. Note: Weighted average of survey results for US, China, UK, and Germany, based on IDC T12M iPhone shipments in different countries.

Second, Mac upside is real, but remains largely immaterial to overall results. We are seeing multiple reports ([here](#) and [here](#)) of strong demand for Apple's lower priced MacBook Neo, consistent with our Mac lead time tracker, which shows extended delivery times of 18.5 days as of April 16 – well above the M5 MacBook Air (7 days) and M5 MacBook Pro (10 days). While Neo is likely margin dilutive at these prices, IDC data for sub \$600 PCs suggests it opens Apple up to a new 100M+ unit TAM, supporting robust Mac growth and a likely re-acceleration in device installed base growth. Our supply chain checks point to 8-10M Neo builds in CY26, and even assuming some cannibalization of non Neo Mac demand, we now expect Apple to ship 30M+ Mac's in CY26 (+23% Y/Y), potentially taking more PC share than any single vendor this year ([Exhibit 4](#)). Mac Mini demand also remains robust (63 day lead times), but a very small mix of overall Mac shipments. That said, the earnings impact from Mac upside remains limited – every 1% of Mac revenue upside translates to just 3c of EPS upside, so while the Neo launch underscores

Apple's product strength and market share gains, we would not over emphasize Mac as a material earnings driver.

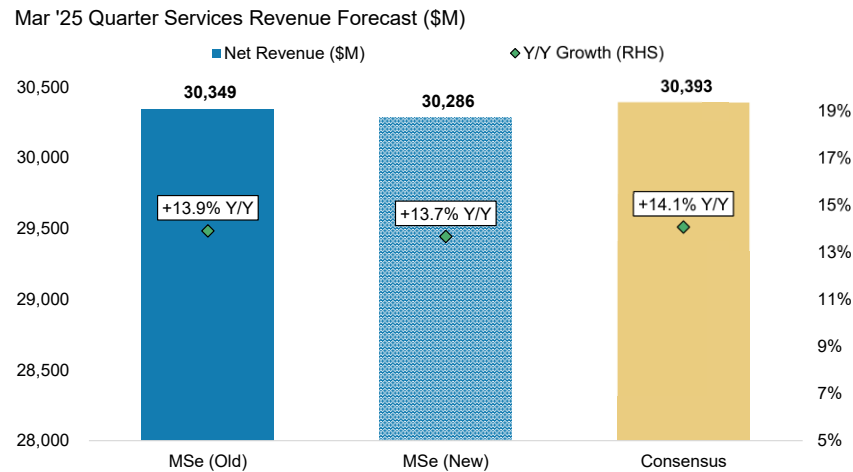
Exhibit 4: We assume 20-40% of Mac shipments cannibalization from MacBook Neo in CY26 and CY27



Source: Company data, IDC, Morgan Stanley Research estimates

Third, we think Services revenue should be fine and unlikely to be a major point of debate this quarter. For the March quarter, our Services revenue growth estimate of 13.7% Y/Y sits modestly below the Street at 14.1% Y/Y (and guidance of +13.9% Y/Y), driven primarily by softer App Store performance – developer revenue grew 6.9% Y/Y, about 60bps below our prior 7.5% estimate. That said, slower App Store growth has been a recurring theme over recent quarters, and Apple has still consistently met or exceeded its overall Services revenue guidance. Looking ahead to June, we forecast Services revenue growth of 12.8% Y/Y, a 90bps deceleration from March but still 20bps above Consensus at +12.6% Y/Y.

Exhibit 5: Our March quarter Services revenue is 40bps below Consensus due to weaker App Store revenues.



Source: Company data, IDC, Morgan Stanley Research estimates

Taken together, this means our March and June quarter revenue forecasts are moving modestly higher, and are now 1-5% above Consensus estimate. While our March quarter revenue is only 1% above Consensus due to the cap from supply

constraints, our June quarter revenue estimate sits 5% above the Street as we see more material upside to iPhone builds/shipments, as well as Mac revenue strength driven by MacBook Neo. For what it's worth, FX could be up to a 4-point Y/Y tailwind to March quarter revenue based on our FX tracker, ahead of management's guidance of a >1 point Y/Y tailwind. On a full year basis, our increased FY26 and FY27 revenue forecasts are 4% and 11% above Consensus, respectively, driven by higher iPhone shipments and larger magnitude of like-for-like price hikes for the iPhone 18 family.

Exhibit 6: Our March and June quarter revenue are 1-5% above Consensus, driven primarily by iPhone shipment strength.

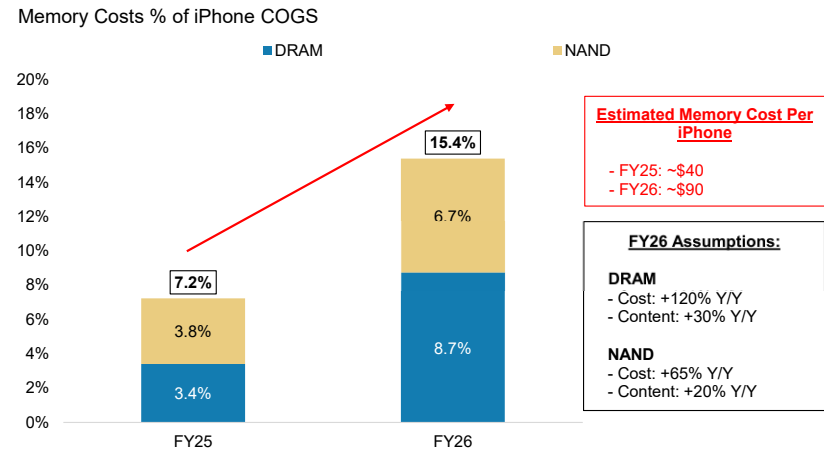
	F2Q26 (Mar Q)					F3Q26 (Jun Q)				
	MSe	MSe (Old)	% Diff	Consensus	% Diff	MSe	MSe (Old)	% Diff	Consensus	% Diff
Total Revenue	110,011	109,303	0.6%	109,136	0.8%	107,079	105,375	1.6%	102,399	4.6%
Y/Y Growth	15.4%	14.6%	74bps	14.4%	92bps	13.9%	12.1%	181bps	8.9%	498bps
iPhone	57,150	56,510	1.1%	56,029	2.0%	52,665	50,793	3.7%	50,006	5.3%
ASP (\$)	937	926	1.1%	981	-4.5%	914	921	-0.7%	983	-7.0%
Unit (K units)	61,000	61,000	0.0%	58,264	4.7%	57,500	55,000	4.5%	49,650	15.8%
iPad	6,674	6,673	0.0%	6,751	-1.1%	6,847	6,690	2.4%	7,074	-3.2%
Mac	8,040	7,945	1.2%	8,234	-2.4%	8,839	8,944	-1.2%	8,165	8.3%
Wearables	7,860	7,826	0.4%	8,074	-2.6%	7,796	7,951	-2.0%	7,637	2.1%
Services	30,286	30,349	-0.2%	30,393	-0.4%	30,933	30,998	-0.2%	30,887	0.2%
Gross Profit	53,507	52,980	1.0%	52,665	1.6%	49,292	47,415	4.0%	48,617	1.4%
EBIT	34,832	34,289	1.6%	34,596	0.7%	30,338	28,447	6.6%	30,437	-0.3%
Pre-tax Profits	34,932	34,389	1.6%	34,327	1.8%	30,473	28,581	6.6%	30,471	0.0%
Net Income	28,819	28,371	1.6%	28,372	1.6%	25,598	24,008	6.6%	25,276	1.3%
EPS	\$1.96	\$1.93	1.6%	\$1.94	1.0%	\$1.74	\$1.64	6.6%	\$1.73	1.0%
Gross Margin	48.6%	48.5%	17bps	48.3%	38bps	46.0%	45.0%	104bps	47.5%	-145bps
OpM	31.7%	31.4%	29bps	31.7%	-4bps	28.3%	27.0%	134bps	29.7%	-139bps
Effective Tax Rate	17.5%	17.5%	0bps	17.3%	15bps	16.0%	16.0%	0bps	17.0%	-105bps
Net Margin	26.2%	26.0%	24bps	26.0%	20bps	23.9%	22.8%	112bps	24.7%	-78bps

Source: Company data, FactSet, Morgan Stanley Research estimates

That said, our 46% June quarter gross margin is 150bps below Street and towards the low-end of buy-side gross margin expectations (46-47%) in the June quarter. Apple's June quarter gross margin guide has been the topic du jour over the last 3 months given concerns about memory price inflation, and we remain the "bears" here, with our new 46% consolidated June quarter gross margin 150bps below Consensus and at the low-end of 46-47% buy-side expectations. For context, historical seasonality would support a 47.5-48% June quarter gross margin guidance midpoint, so both MSe and buy-side expectations are well-below seasonal. But for good reason – every 10% increase in NAND/DRAM \$/GB impacts June quarter iPhone gross margins by 30bps/40bps, all else equal. And given NAND/DRAM contract prices are up 120-150% in the last 6 months, and reports indicate Apple is paying close to market prices, we see a significant Product gross margin headwinds into the June quarter. Partially offsetting this headwind is FX, volume leverage, high-end mix shift, pressuring suppliers, inventory management, and a potentially lower tariff expense, but on a net basis we still see relative downside to Street gross margins in June (*our gross margin waterfall is available upon request*).

Where could we be too conservative? We don't know how much low-cost memory inventory Apple has coming into June, and we don't know the exact \$/GB they are paying for NAND and DRAM. Our 46% gross margin estimate assumes minimal low-cost inventory and 60-70% Q/Q memory cost increases, which we don't believe are overly aggressive, but are likely the key swing factors dictating June quarter gross margin guidance.

Exhibit 7: We expect memory costs % of iPhone COGS to more than double Y/Y in FY26, driven by both cost/GB increases and memory content growth.



Source: Company data, Morgan Stanley Research estimates

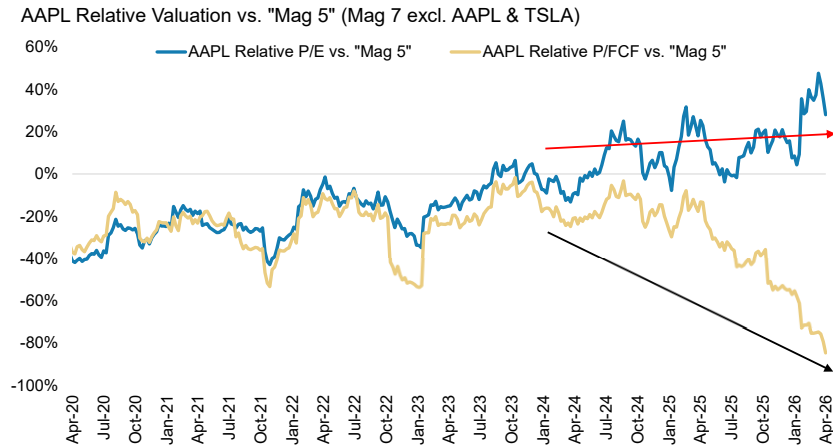
But when we combine revenue upside with gross margin downside, our EPS estimates still move higher, and we continue to see a path towards ~\$10 of EPS in FY27 despite the memory cost headwinds – PT unchanged at \$315. Combining our above Street revenue assumptions with below Street margin forecasts, our EPS forecast increases 2-7% vs. our prior estimates. For the June quarter specifically, our higher revenue assumptions lift our EPS estimate to \$1.74, 1% above Consensus at \$1.73. Importantly, we believe our estimate is towards the high end of buy-side expectations (\$1.65-1.73 range), and we'd characterize an implied guide in-line with Consensus EPS as "better-than-feared". For FY26 and FY27, we now model EPS of \$8.69 and \$9.76, respectively. Our \$315 price target – based on ~32x FY27 EPS of \$9.76 – remains unchanged.

Exhibit 8: While our gross margin estimates are 60-190bps below Consensus, our EPS forecasts are 2-5% above Street, primarily driven by higher iPhone shipments and ASP forecasts.

	FY26E					FY27E				
	MSe	MSe (Old)	% Diff	Consensus	% Diff	MSe	MSe (Old)	% Diff	Consensus	% Diff
Total Revenue	482,388	478,334	0.8%	465,084	3.7%	549,907	529,630	3.8%	497,465	10.5%
Y/Y Growth	31.9%	30.8%	111bps	11.8%	2,011bps	14.0%	10.7%	327bps	7.0%	703bps
iPhone	257,664	253,467	1.7%	245,853	4.8%	305,101	287,783	6.0%	258,508	18.0%
ASP (\$)	975	977	-0.2%	961	1.5%	1,139	1,074	6.0%	993	14.7%
Unit (K units)	264,579	259,579	1.9%	249,922	5.9%	268,000	268,000	0.0%	250,400	7.0%
iPad	30,007	29,561	1.5%	29,553	1.5%	31,501	30,296	4.0%	29,696	6.1%
Mac	34,967	35,158	-0.5%	33,729	3.7%	37,992	36,364	4.5%	35,628	6.6%
Wearables	36,190	36,429	-0.7%	36,227	-0.1%	37,404	37,189	0.6%	37,424	-0.1%
Services	123,561	123,718	-0.1%	123,434	0.1%	137,909	137,997	-0.1%	137,554	0.3%
Gross Profit	227,534	224,917	1.2%	222,292	2.4%	251,537	251,073	0.2%	237,127	6.1%
EBIT	152,202	149,660	1.7%	149,468	1.8%	168,014	167,792	0.1%	160,165	4.9%
Pre-tax Profits	152,722	150,175	1.7%	150,217	1.7%	168,515	168,258	0.2%	160,203	5.2%
Net Income	127,018	124,887	1.7%	124,124	2.3%	141,553	141,337	0.2%	133,430	6.1%
EPS	\$8.63	\$8.49	1.7%	\$8.49	1.7%	\$9.76	\$9.74	0.2%	\$9.32	4.7%
Gross Margin	47.2%	47.0%	15bps	47.8%	-63bps	45.7%	47.4%	-166bps	47.7%	-193bps
OpM	31.6%	31.3%	26bps	32.1%	-59bps	30.6%	31.7%	-113bps	32.2%	-164bps
Effective Tax Rate	16.8%	16.8%	-1bps	17.4%	-54bps	16.0%	16.0%	0bps	16.7%	-71bps
Net Margin	26.3%	26.1%	22bps	26.7%	-36bps	25.7%	26.7%	-94bps	26.8%	-108bps

Source: Company data, FactSet, Morgan Stanley Research estimates

Exhibit 9: Apple's rich FCF generation puts it at a 85% discount vs. "Mag 5" today



Finally, we do not expect a material change or surprise on capital returns this quarter. Apple typically refreshes its capital allocation framework each F2Q, and we expect that messaging to remain stable, including a MSD% Y/Y dividend increase and a \$90-100B expansion of buyback authorization. This implies an unchanged share buyback cadence of roughly \$22-25B per quarter.

Beyond this quarter, we see two critical catalysts that should make this earnings a clearing event and set up a seasonally stronger period of performance for Apple. The first is Apple's Worldwide Developer Conference (WWDC) keynote on June 8th, where we expect Apple to introduce a re-designed Siri and Apple Intelligence platform. Exact details are still in flux, but this event is shaping up to have even more importance than 2024 (which led to a 30% rally in the stock and 6x turns of multiple expansion over the ensuing 6 months) given the AI progress we see at peers vs. Apple's relative non-involvement in the "AI trade" (but progress being signaled behind the scenes at Apple). On a scale from 1 to 10, investor expectations into WWDC are a 0, meaning if Apple can deliver an adequate (and on-time) product, we should expect a mid-summer rally in Apple shares. We'd again highlight that [Apple's sizable SolC booking at TSMC in CY27](#) (as big as AMD's) implies that Apple is bullish on Apple Intelligence query growth.

The second catalyst is the September iPhone launch, which is more than a routine annual refresh. New form factors (i.e. the foldable iPhone) and, more importantly, Apple's pricing strategy will be key to watch, particularly with memory costs rising sharply. We currently embed \$100+ like-for-like pricing increases for the iPhone 18 family, which we believe is enough to protect gross profit dollars in FY27, but not gross margins (i.e. we still have gross margins lower Y/Y in FY27). Based on our estimates, without any like for like pricing increase for the iPhone 18 family, FY27 iPhone gross margin would fall to the low-30% range (from ~40% in FY26), implying company level gross margin in the low to-mid 40% range (vs. ~47% in FY26) and earnings power closer to ~\$8.00 (vs. \$9.74 in FY27) barring significant iPhone shipments upside, illustrating the criticality of pricing decisions this fall. We would also note the potential for new robotics/smart home products, and/or AR glasses in C2H, though we view these as call options with limited investor

expectations embedded today.

The key downside risks vs. our updated view are concentrated around memory costs and their downstream impact on pricing, which we view as the most important risk today. At the top of the list is Apple's exposure to rising memory purchasing prices and uncertainty around low cost inventory on hand, and whether Apple ultimately chooses to pass those costs through via pricing. Beyond that, we see three additional risks worth flagging, in order of importance:

1. **Residual memory cost pressure.** Even with our below Street gross margin assumptions, Apple could still face greater than expected margin compression if memory costs or inventory dynamics worsen further.
2. **Demand risk.** Higher iPhone pricing and/or a weaker macro backdrop pressure consumer spending, forcing downward revisions to iPhone builds and shipments.
3. **Modeling risk around the staggered iPhone launch.** The Street still does not appear to have embedded the new iPhone launch cadence for the September and December '26 quarters, which may create revenue and margin estimates volatility as we head into C2H26.

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Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Apple, Inc. AAPL.O

Implied June Quarter EPS Guidance — In-line — Largely unchanged

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

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Risk Reward – Apple, Inc. (AAPL.O)

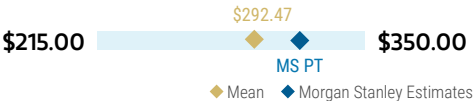
More Near-Term Cost Uncertainties Before a Catalyst-Laden 2H

PRICE TARGET \$315.00

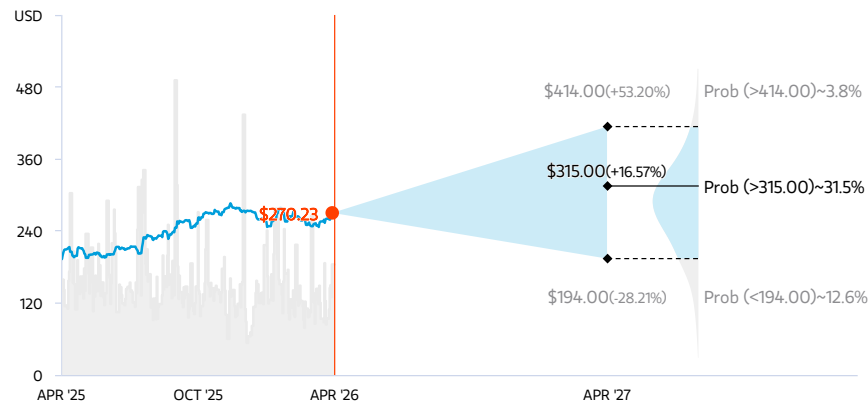
Our \$315 PT is based an 8.1x EV/Sales FY27 multiple, which is derived from a regression of tech and consumer platform peers. Our price target implies ~32x P/E on \$9.76 FY27 EPS.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



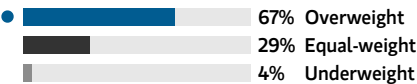
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 17 Apr 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

With the most elongated iPhone replacement cycles, new AI features rolling out around the world, and a renewed focus on device form factor changes, we believe Apple can accelerate iPhone growth starting in FY26, with replacement cycles peaking as aged installed base starts to upgrade. When combined with consistent, double digit services growth and moderate operating leverage, we believe Apple can earn \$8.63 in FY26 and \$9.76 by FY27. Memory cost dynamic could create uncertainties in the near term. Longer-term, investments in AI, payments, cloud, health, and home, and long runway to grow spend per user from \$1/day today are key arguments for sustained long-term growth and value creation.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Positive
New Data Era: Positive
Pricing Power: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$414.00

10.9x EV/Sales FY27; 39.1x Bull FY27 P/E of \$10.60

iPhone replacement cycles accelerate in FY26/FY27 with Robotics as an long-term upside. Consumer demand returns, and stronger than expected iPhone 17 upgrade intentions + mix shift to higher end iPhones drives mid-teens Y/Y iPhone revenue growth, while rising component costs are mitigated given Apple's bargaining power against consumers and the supply chain. Our bull case valuation implies a 39.1x P/E multiple on FY27 Bull EPS, which embeds \$22 per share of upside from its Robotics efforts.

BASE CASE

\$315.00

8.1x EV/Sales FY27 or ~32x FY27 EPS of \$9.76

Services and margins remain resilient, while investors start to expect stronger iPhone cycles ahead. Revenue grows 14% Y/Y in FY27, driven by 10%+ Services growth and mid-teens % Products growth. GM may contract Y/Y in FY27 driven by higher Product revenue mix and memory costs, while Apple leverages the supply chain and repricing to mitigate the cost impact. The iPhone replacement cycle are peaking and create pent up demand for upgrades in FY27.

BEAR CASE

\$194.00

6.3x EV/Sales FY27; 24.6x FY27 Bear EPS of \$7.89

iPhone 17 cycle disappoints as consumer spending weakens more than expected amidst synthetic price increases. Growth slows further across the portfolio as discretionary income is pressured by hard landing, leading to just LSD of Product rev growth and decelerating Services rev growth in FY26. With revenue slightly growing but margin contracting, FY26 EPS will only grow MSD to ~\$7.36. Our bear case valuation implies a 24.6x FY27 P/E, below T5Y avg of 26.0x due to plateauing Services profit mix.

Risk Reward – Apple, Inc. (AAPL.O)

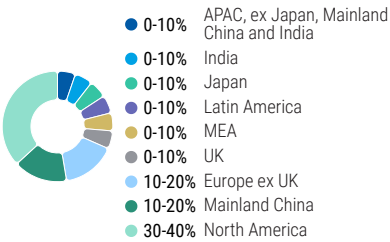
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total Revenue Growth (Y/Y) (%)	6.4	15.9	14.0	5.4
iPhone Revenue Growth (Y/Y) (%)	4.2	22.9	18.5	3.9
Services Revenue Growth (Y/Y) (%)	13.5	13.2	11.6	10.2
Gross Margin (%)	46.9	47.2	45.7	47.1
EPS Growth (Y/Y) (%)	10.6	15.6	13.1	9.4

INVESTMENT DRIVERS

- Positive iPhone build revisions / clearer signs of accelerating replacement cycles
- Services revenue growth reacceleration
- Apple Intelligence feature and distribution expansion
- New product launches in home, health and AI

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- iPhone 17 outperforms expectations
- Apple Intelligence adoption surprises to the upside
- Apple pulls forward form factor changes
- Services growth re-accelerates despite tougher compares
- Gross margins surprise positively

RISKS TO DOWNSIDE

- Weak consumer spending limits iPhone upgrade rates
- Higher memory input costs
- Limited progress on AI features
- Geopolitical tensions
- Increased regulation, particularly with App Store

OWNERSHIP POSITIONING

Inst. Owners, % Active	48.3%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	25.2%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Sep 2027e

Sales / Revenue (\$, mm) ◆ 550,153
Note: There are not sufficient brokers supplying consensus data for this metric

EBITDA (\$, mm) ◆ 183,300
Note: There are not sufficient brokers supplying consensus data for this metric

Net income (\$, mm) ◆ 141,596
Note: There are not sufficient brokers supplying consensus data for this metric

EPS (\$) ◆ 9.76
Note: There are not sufficient brokers supplying consensus data for this metric

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Apple (AAPL) Financial Model

Exhibit 10: Apple Income Statement

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Revenues	124,300	95,359	94,036	102,466	143,756	110,011	107,079	121,542	150,033	132,824	131,907	135,389	391,035	416,161	482,388	550,153	579,835
iPhone	69,138	46,841	44,582	49,025	85,269	57,150	52,665	62,580	85,657	75,333	72,614	71,743	201,183	209,586	257,664	305,347	317,357
iPad	8,088	6,402	6,581	6,952	8,595	6,674	6,847	7,891	9,222	7,076	7,305	7,898	26,694	28,023	30,007	31,501	32,160
Mac	8,987	7,949	8,046	8,726	8,386	8,040	8,839	9,702	9,529	8,760	9,204	10,499	29,984	33,708	34,967	37,992	38,790
Wearables, Home and Accessories	11,747	7,522	7,404	9,013	11,493	7,860	7,796	9,041	12,103	7,845	8,214	9,241	37,005	35,686	36,190	37,404	39,565
Services	26,340	26,645	27,423	28,750	30,013	30,286	30,933	32,328	33,522	33,811	34,569	36,007	96,169	109,158	123,561	137,909	151,963
Cost of Sales	66,025	50,492	50,318	54,125	74,525	56,504	57,788	66,037	82,775	72,145	71,996	71,610	210,352	220,960	254,854	298,525	306,463
Gross Profit	58,275	44,867	43,718	48,341	69,231	53,507	49,292	55,505	67,258	60,679	59,911	63,778	180,683	195,201	227,534	251,628	273,372
<i>Gross Margin</i>	<i>46.9%</i>	<i>47.1%</i>	<i>46.5%</i>	<i>47.2%</i>	<i>48.2%</i>	<i>48.6%</i>	<i>46.0%</i>	<i>45.7%</i>	<i>44.8%</i>	<i>45.7%</i>	<i>45.4%</i>	<i>47.1%</i>	<i>46.2%</i>	<i>46.9%</i>	<i>47.2%</i>	<i>45.7%</i>	<i>47.1%</i>
Operating Expenses	15,443	15,278	15,516	15,914	18,379	18,674	18,953	19,325	20,705	20,721	20,949	21,188	57,467	62,151	75,331	83,563	91,088
Research and Development	8,268	8,550	8,866	8,866	10,887	11,414	11,779	11,911	12,603	13,017	13,455	13,403	31,370	34,550	45,990	52,478	58,668
Selling, General and Administrative	7,175	6,728	6,650	7,048	7,492	7,261	7,174	7,414	8,102	7,704	7,495	7,785	26,097	27,601	29,341	31,085	32,421
Operating Income	42,832	29,589	28,202	32,427	50,852	34,832	30,338	36,180	46,554	39,959	38,962	42,590	123,216	133,050	152,202	168,065	182,283
<i>PTOP Margin</i>	<i>34.5%</i>	<i>31.0%</i>	<i>30.0%</i>	<i>31.6%</i>	<i>35.4%</i>	<i>31.7%</i>	<i>28.3%</i>	<i>29.8%</i>	<i>31.0%</i>	<i>30.1%</i>	<i>29.5%</i>	<i>31.5%</i>	<i>31.5%</i>	<i>32.0%</i>	<i>31.6%</i>	<i>30.5%</i>	<i>31.4%</i>
Total Interest & Other Income	(248)	(279)	(171)	377	150	100	135	135	104	114	137	147	269	(321)	519	502	207
Pretax Income	42,584	29,310	28,031	32,804	51,002	34,932	30,473	36,315	46,658	40,073	39,099	42,737	123,485	132,729	152,722	168,567	182,490
GAAP Income Tax Provision	6,254	4,530	4,597	5,338	8,905	6,113	4,876	5,810	7,465	6,412	6,256	6,838	29,749	20,719	25,704	26,971	29,198
Operating Tax Provision (excl one time tax eff)	6,254	4,530	4,597	5,338	8,905	6,113	4,876	5,810	7,465	6,412	6,256	6,838	19,503	20,719	25,704	26,971	29,198
<i>Effective Tax Rate</i>	<i>14.7%</i>	<i>15.5%</i>	<i>16.4%</i>	<i>16.3%</i>	<i>17.5%</i>	<i>17.5%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>15.8%</i>	<i>15.6%</i>	<i>16.8%</i>	<i>16.0%</i>	<i>16.0%</i>
Operating Net Income	36,330	24,780	23,434	27,466	42,097	28,819	25,598	30,504	39,193	33,661	32,843	35,899	103,982	112,010	127,018	141,596	153,292
<i>Operating Net Income Margin</i>	<i>29.2%</i>	<i>26.0%</i>	<i>24.9%</i>	<i>26.8%</i>	<i>29.3%</i>	<i>26.2%</i>	<i>23.9%</i>	<i>25.1%</i>	<i>26.1%</i>	<i>25.3%</i>	<i>24.9%</i>	<i>26.5%</i>	<i>26.6%</i>	<i>26.9%</i>	<i>26.3%</i>	<i>25.7%</i>	<i>26.4%</i>
Total Non-recurring Charges	-	-	-	-	-	-	-	-	-	-	-	-	(10,246)	-	-	-	-
GAAP Net Income	36,330	24,780	23,434	27,466	42,097	28,819	25,598	30,504	39,193	33,661	32,843	35,899	93,736	112,010	127,018	141,596	153,292
Fully-diluted EPS																	
EPS - ModelWare	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$1.96	\$1.74	\$2.08	\$2.69	\$2.32	\$2.27	\$2.49	\$6.75	\$7.46	\$8.63	\$9.76	\$10.68
EPS - Reported	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$1.96	\$1.74	\$2.08	\$2.69	\$2.32	\$2.27	\$2.49	\$6.08	\$7.46	\$8.63	\$9.76	\$10.68
EPS - ModelWare excl. Stock Option Expe	\$2.61	\$1.86	\$1.78	\$2.06	\$3.09	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Dividend Payment	3,856	3,758	3,945	3,862	3,921	3,846	4,051	3,975	4,037	3,985	4,201	4,125	15,234	15,421	15,792	16,349	16,988
Dividend Per Share	\$0.25	\$0.25	\$0.26	\$0.26	\$0.26	\$0.26	\$0.28	\$0.27	\$0.28	\$0.28	\$0.29	\$0.29	\$0.99	\$1.03	\$1.08	\$1.13	\$1.19
Period Ending Outstanding Shares	15,040.7	14,939.3	14,856.7	14,773.3	14,702.7	14,646.1	14,591.3	14,545.9	14,502.0	14,459.8	14,419.0	14,379.8	15,116.8	14,773.3	14,545.9	14,379.8	14,247.0
Avg Shares (Basic)	15,081.7	14,994.1	14,902.9	14,815.3	14,748.2	14,674.4	14,618.7	14,568.6	14,523.9	14,480.9	14,439.4	14,399.4	15,343.8	14,948.5	14,652.5	14,460.9	14,310.9
Avg Shares (Fully Diluted)	15,150.9	15,056.1	14,948.2	14,863.6	14,810.4	14,736.6	14,680.9	14,630.8	14,565.9	14,522.9	14,481.4	14,441.4	15,408.1	15,004.7	14,714.7	14,502.9	14,352.9

Source: Company data, Morgan Stanley Research estimates

Exhibit 11: Apple Income Statement Analysis

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Margin Analysis																	
Gross Margin	46.9%	47.1%	46.5%	47.2%	48.2%	48.6%	46.0%	45.7%	44.8%	45.7%	45.4%	47.1%	46.2%	46.9%	47.2%	45.7%	47.1%
Product	39.3%	35.9%	34.5%	36.2%	40.7%	37.9%	33.7%	34.6%	35.5%	34.7%	34.1%	36.2%	37.2%	36.8%	37.1%	35.2%	36.2%
iPhone	42.8%	39.3%	37.4%	40.0%	44.5%	41.8%	37.5%	38.1%	38.4%	37.0%	36.2%	39.4%	40.6%	40.2%	40.9%	37.8%	38.8%
iPad	29.7%	27.5%	26.8%	26.8%	28.0%	27.5%	22.5%	26.0%	27.0%	26.0%	27.0%	27.0%	28.6%	27.8%	26.1%	26.8%	27.7%
Mac	32.3%	28.5%	30.0%	30.0%	31.0%	27.9%	23.5%	24.6%	26.1%	26.8%	26.8%	27.1%	30.3%	30.3%	26.6%	26.6%	28.6%
Wearables, Home and Accessories	30.8%	29.9%	28.9%	28.9%	28.8%	29.0%	29.0%	29.0%	29.0%	28.5%	30.0%	30.0%	30.6%	29.7%	28.9%	29.6%	30.0%
Services	75.0%	75.7%	75.6%	75.3%	76.5%	76.8%	76.5%	76.1%	77.2%	77.8%	77.3%	77.1%	73.9%	75.4%	76.5%	77.3%	77.8%
R&D	6.7%	9.0%	9.4%	8.7%	7.6%	10.4%	11.0%	9.8%	8.4%	9.8%	10.2%	9.9%	8.0%	8.3%	9.5%	9.5%	10.1%
SG&A	5.8%	7.1%	7.1%	6.9%	5.2%	6.6%	6.7%	6.1%	5.4%	5.8%	5.7%	5.8%	6.7%	6.6%	6.1%	5.7%	5.6%
Operating Expenses	12.4%	16.0%	16.5%	15.5%	12.8%	17.0%	17.7%	15.9%	13.8%	15.6%	15.9%	15.7%	14.7%	14.9%	15.6%	15.2%	15.7%
EBITDA Margin	36.9%	33.8%	33.0%	34.7%	37.6%	34.9%	31.7%	32.8%	33.5%	32.9%	32.4%	34.3%	34.4%	34.8%	34.5%	33.3%	34.3%
PTOP Margin	34.5%	31.0%	30.0%	31.6%	35.4%	31.7%	28.3%	29.8%	31.0%	30.1%	29.5%	31.5%	31.5%	32.0%	31.6%	30.5%	31.4%
Pretax Margin	34.3%	30.7%	29.8%	32.0%	35.5%	31.8%	28.5%	29.9%	31.1%	30.2%	29.6%	31.6%	31.6%	31.9%	31.7%	30.6%	31.5%
Net Income	29.2%	26.0%	24.9%	26.8%	29.3%	26.2%	23.9%	25.1%	26.1%	25.3%	24.9%	26.5%	26.6%	26.9%	26.3%	25.7%	26.4%
Year-Over-Year Growth (%)																	
Revenue	4%	5%	10%	8%	16%	15%	14%	19%	4%	21%	23%	11%	2%	6%	16%	14%	5%
iPhone	-1%	2%	13%	6%	23%	22%	18%	28%	0%	32%	38%	15%	0%	4%	23%	19%	4%
iPad	15%	15%	-8%	0%	6%	4%	4%	14%	7%	6%	7%	0%	-6%	5%	7%	5%	2%
Mac	16%	7%	15%	13%	-7%	1%	10%	11%	14%	9%	4%	8%	2%	12%	4%	9%	2%
Wearables, Home and Accessories	-2%	-5%	-9%	0%	-2%	4%	5%	0%	5%	0%	5%	2%	-7%	-4%	1%	3%	6%
Services	14%	12%	13%	15%	14%	14%	13%	12%	12%	12%	12%	11%	13%	14%	13%	12%	10%
Gross Margin	6%	6%	10%	10%	19%	19%	13%	15%	-3%	13%	22%	15%	7%	8%	17%	11%	9%
iPhone	0%	0%	10%	7%	28%	30%	18%	22%	-13%	17%	33%	19%	1%	3%	25%	9%	7%
iPad	14%	13%	-12%	-5%	0%	4%	-13%	10%	3%	0%	28%	4%	-3%	2%	1%	8%	6%
Mac	17%	4%	15%	13%	-10%	-1%	-14%	-9%	-4%	5%	19%	19%	5%	12%	-9%	9%	9%
Wearables, Home and Accessories	-5%	-4%	-12%	-4%	-8%	1%	6%	1%	6%	2%	9%	6%	-5%	-6%	-1%	6%	7%
Services	17%	13%	16%	17%	16%	15%	14%	14%	13%	13%	13%	13%	18%	16%	15%	13%	11%
R&D	7%	8%	11%	14%	32%	33%	33%	34%	16%	14%	14%	13%	5%	10%	33%	14%	12%
SG&A	6%	4%	5%	8%	4%	8%	8%	5%	8%	6%	4%	5%	5%	6%	6%	6%	4%
Operating Expenses	7%	6%	8%	11%	19%	22%	22%	21%	13%	11%	11%	10%	5%	8%	21%	11%	9%
PTOP Margin	6%	6%	11%	10%	19%	18%	8%	12%	-8%	15%	28%	18%	8%	8%	14%	10%	8%
Pretax Margin	6%	4%	10%	11%	20%	19%	9%	11%	-9%	15%	28%	18%	9%	7%	15%	10%	8%
Net Income	7%	5%	9%	10%	16%	16%	9%	11%	-7%	17%	28%	18%	7%	8%	13%	11%	8%
ModelWare EPS	10%	8%	12%	13%	19%	19%	11%	13%	-5%	19%	30%	19%	10%	11%	16%	13%	9%
Sequential Growth (%)																	
Revenue	31%	-23%	-1%	9%	40%	-23%	-3%	14%	23%	-11%	-1%	3%					
iPhone	50%	-32%	-5%	10%	74%	-33%	-8%	19%	37%	-12%	-4%	-1%					
iPad	16%	-21%	3%	6%	24%	-22%	3%	15%	17%	-23%	3%	8%					
Mac	16%	-12%	1%	8%	-4%	-4%	10%	10%	-2%	-8%	5%	14%					
Wearables, Home and Accessories	30%	-36%	-2%	22%	28%	-32%	-1%	16%	34%	-35%	5%	12%					
Services	5%	1%	3%	5%	4%	1%	2%	5%	4%	1%	2%	4%					
Gross Margin	33%	-23%	-3%	11%	43%	-23%	-8%	13%	21%	-10%	-1%	6%					
iPhone	61%	-38%	-9%	18%	93%	-37%	-17%	21%	38%	-15%	-6%	8%					
iPad	23%	-27%	0%	6%	29%	-24%	-16%	33%	21%	-26%	7%	8%					
Mac	25%	-22%	7%	8%	-1%	-14%	-7%	15%	4%	-6%	5%	15%					
Wearables, Home and Accessories	33%	-38%	-5%	22%	27%	-31%	-1%	16%	34%	-34%	6%	12%					
Services	7%	2%	3%	4%	6%	1%	2%	4%	5%	2%	2%	4%					
R&D	6%	3%	4%	0%	23%	5%	3%	1%	6%	3%	3%	0%					
SG&A	10%	-6%	-1%	6%	6%	-3%	-1%	3%	9%	-5%	-3%	4%					
Operating Expenses	8%	-1%	2%	3%	15%	2%	1%	2%	7%	0%	1%	1%					
PTOP Margin	45%	-31%	-5%	15%	57%	-32%	-13%	19%	29%	-14%	-2%	9%					
Pretax Margin	44%	-31%	-4%	17%	55%	-32%	-13%	19%	28%	-14%	-2%	9%					
Net Income	45%	-32%	-5%	17%	53%	-32%	-11%	19%	28%	-14%	-2%	9%					
ModelWare EPS	46%	-31%	-5%	18%	54%	-31%	-11%	20%	29%	-14%	-2%	10%					
Revenue Mix																	
iPhone	56%	49%	47%	48%	59%	52%	49%	51%	57%	57%	55%	53%	51%	50%	53%	56%	55%
iPad	7%	7%	7%	7%	6%	6%	6%	6%	6%	5%	6%	6%	7%	7%	6%	6%	6%
Mac	7%	8%	9%	9%	6%	7%	8%	8%	6%	7%	7%	8%	8%	8%	7%	7%	7%
Wearables, Home and Accessories	9%	8%	8%	9%	8%	7%	7%	7%	8%	6%	6%	7%	9%	9%	8%	7%	7%
Services	21%	28%	29%	28%	21%	28%	29%	27%	22%	25%	26%	27%	25%	26%	26%	25%	26%

Source: Company data, Morgan Stanley Research estimates

Exhibit 12: Apple Balance Sheet

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Assets																	
Current Assets:																	
Cash and cash equivalents	30,299	28,162	36,269	35,934	45,317	44,596	44,548	49,992	59,412	82,644	93,088	92,398	29,943	35,934	49,992	92,398	130,876
Short-term investments	111,069	104,760	96,717	96,486	99,478	99,478	99,478	99,478	99,478	99,478	99,478	99,478	126,707	96,486	99,478	99,478	99,478
Accounts receivable	29,639	26,136	27,557	39,777	39,921	30,558	35,301	46,239	35,878	36,896	40,587	47,092	33,410	39,777	46,239	47,092	38,756
Inventories	6,911	6,269	5,925	5,718	5,875	6,906	6,985	8,614	8,997	8,818	8,703	9,340	7,286	5,718	8,614	9,340	7,789
Deferred tax assets	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546
Other current assets	37,369	32,225	28,091	42,219	39,855	34,301	29,698	44,295	42,287	36,289	31,317	47,082	41,574	42,219	44,295	47,082	50,845
Total Current Assets	220,833	203,098	200,105	225,680	235,992	221,386	221,557	254,163	251,598	269,670	278,719	300,936	244,466	225,680	254,163	300,936	333,290
Property, Plant & Equipment, net	46,069	46,876	48,508	49,834	50,159	50,916	51,827	52,773	53,737	54,729	55,754	56,820	45,680	49,834	52,773	56,820	62,011
Acquired Intangible Assets	29,043	30,577	31,188	31,506	35,050	34,425	33,842	33,298	32,790	32,316	31,874	31,461	28,160	31,506	33,298	31,461	29,919
Other assets	48,140	50,682	51,694	52,221	58,096	55,750	56,863	57,443	63,905	61,325	62,550	63,188	46,674	52,221	57,443	63,188	69,506
Non-current debt and equity investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Fixed Assets	123,252	128,135	131,390	133,561	143,305	141,091	142,532	143,515	150,432	148,370	150,178	151,468	120,514	133,561	143,515	151,468	161,436
Total Assets	344,085	331,233	331,495	359,241	379,297	362,477	364,089	397,678	402,030	418,040	428,897	452,405	364,980	359,241	397,678	452,405	494,726
Liabilities																	
Current Liabilities:																	
Accounts payable	61,910	54,126	50,374	69,860	70,587	60,271	59,058	82,546	71,978	76,153	72,787	89,513	68,960	69,860	82,546	89,513	81,785
Accrued expenses	69,612	70,825	71,478	75,442	77,956	70,188	74,550	79,587	80,759	83,984	90,512	87,359	86,553	75,442	79,587	87,359	87,100
Current Debt	12,843	19,620	19,268	20,329	13,824	13,824	13,824	13,824	13,824	13,824	13,824	13,824	20,879	20,329	13,824	13,824	13,824
Other current liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	144,365	144,571	141,120	165,631	162,367	144,283	147,432	175,957	166,561	173,961	177,123	190,696	176,392	165,631	175,957	190,696	182,709
Non-Current Liabilities																	
Long-term debt	83,956	78,566	82,430	78,328	76,685	76,685	76,685	76,685	76,685	76,685	76,685	76,685	85,750	78,328	76,685	76,685	76,685
Deferred revenue - non-current	3,199	2,747	2,851	2,731	3,457	3,019	3,207	3,011	2,940	3,209	3,596	3,090	2,960	2,731	3,011	3,090	3,017
Deferred tax liabilities	44,957	37,703	38,414	37,968	47,748	47,748	47,748	47,748	47,748	47,748	47,748	47,748	42,078	37,968	47,748	47,748	47,748
Other non-current liabilities	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850
Total Non-Current Liabilities	132,962	119,866	124,545	119,877	128,740	128,302	128,490	128,294	128,223	128,491	128,878	128,372	131,638	119,877	128,294	128,372	128,299
Total Liabilities	277,327	264,437	265,665	285,508	291,107	272,585	275,921	304,251	294,784	302,452	306,001	319,068	308,030	285,508	304,251	319,068	311,008
Series A preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Shareholder's Equity	66,758	66,796	65,830	73,733	88,190	89,892	88,168	93,427	107,247	115,588	122,895	133,336	56,950	73,733	93,427	133,336	183,718
Total Liabilities and Shareholder's Equity	344,085	331,233	331,495	359,241	379,297	362,477	364,089	397,678	402,030	418,040	428,897	452,405	364,980	359,241	397,678	452,405	494,726

Source: Company data, Morgan Stanley Research estimates

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Exhibit 13: Apple Statement of Cash Flows

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Cash Flow Statement (Non Cumulative)																	
Operating activities:																	
Net Income / (Loss)	36,330	24,780	23,434	27,466	42,097	28,819	25,598	30,504	39,193	33,661	32,843	35,899	93,736	112,010	127,018	141,596	153,292
Cumulative effect of accounting change	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Adjustments to reconcile net income:																	
Depreciation & Amortization	3,080	2,661	2,830	3,127	3,214	3,560	3,603	3,646	3,714	3,777	3,841	3,904	11,445	11,698	14,023	15,235	16,688
Stock based compensation expense	3,286	3,226	3,168	3,183	3,594	-	-	-	-	-	-	-	11,688	12,863	3,594	-	-
Provision for (benefit from) deferred income taxes	(2,009)	(208)	469	1,659	(528)	-	-	-	-	-	-	-	(2,266)	(89)	(528)	-	-
Gain on non-current investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gain on short-term investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Unrealized loss on conv. securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss on sale of PP&E	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash restructuring	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
In-Process R&D	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Tax benefit from ESO	-	-	-	-	-	700	699	699	633	633	633	633	-	-	2,098	2,532	1,937
Changes in Operating Assets and Liabilities:																	
Accounts receivable	3,597	3,669	(1,581)	(12,367)	(153)	9,363	(4,742)	(10,938)	10,361	(1,018)	(3,691)	(6,505)	(3,788)	(6,682)	(6,471)	(853)	8,335
Inventories	215	643	365	177	(211)	(1,031)	(79)	(1,628)	(384)	180	115	(638)	(1,046)	1,400	(2,950)	(727)	1,552
Other current assets	3,166	6,005	4,384	(13,902)	2,781	5,554	4,603	(14,597)	2,008	5,998	4,971	(15,765)	(11,731)	(347)	(1,659)	(2,787)	(3,763)
Other assets	939	(5,310)	(1,745)	(3,081)	(10,250)	2,346	(1,114)	(580)	(6,462)	2,580	(1,225)	(638)	(1,356)	(9,197)	(9,597)	(5,744)	(6,319)
Accounts payable	(6,671)	(7,933)	(3,875)	19,381	848	(10,316)	(1,213)	23,488	(10,568)	4,175	(3,366)	16,726	6,020	902	12,807	6,967	(7,728)
Deferred revenue	-	-	-	-	-	(438)	188	(196)	(71)	269	387	(506)	-	-	(446)	78	(73)
Accrued restructuring costs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current liabilities	(11,998)	(3,581)	418	4,085	12,533	(7,768)	4,362	5,037	1,172	3,225	6,528	(3,153)	15,552	(11,076)	14,164	7,772	(259)
Deferred tax liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by Operating Activities	29,935	23,952	27,867	29,728	53,925	30,788	31,904	35,435	39,596	53,479	41,037	29,958	118,254	111,482	152,052	164,070	163,662
Investing activities:																	
Purchase of short-term investments	(6,124)	(6,318)	(5,149)	(6,816)	(12,693)	-	-	-	-	-	-	-	(48,656)	(24,407)	(12,693)	-	-
Proceeds from maturities of short-term investments	15,967	10,620	8,449	5,871	7,510	-	-	-	-	-	-	-	51,211	40,907	7,510	-	-
Proceeds from sales of short-term investments	3,492	1,718	5,575	2,105	2,824	-	-	-	-	-	-	-	11,135	12,890	2,824	-	-
Purchases of long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Proceeds from sale of PP&E	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of PP&E	(2,940)	(3,071)	(3,462)	(3,242)	(2,373)	(3,692)	(3,930)	(4,048)	(4,170)	(4,295)	(4,424)	(4,556)	(9,447)	(12,715)	(14,044)	(17,445)	(20,337)
Cash paid for acquisition of technology	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of ARM shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	(603)	(32)	(340)	(505)	(154)	-	-	-	-	-	-	-	(1,308)	(1,480)	(154)	-	-
Net cash used in investing activities	9,792	2,917	5,073	(2,587)	(4,886)	(3,692)	(3,930)	(4,048)	(4,170)	(4,295)	(4,424)	(4,556)	2,935	15,195	(16,557)	(17,445)	(20,337)
Financing activities:																	
Proceeds from issuance of common stock	-	-	-	-	-	29	30	31	31	32	33	34	-	-	90	130	141
Excess tax benefits from stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Taxes paid related to net share settlement	(2,921)	(284)	(2,514)	(241)	(2,922)	-	-	-	-	-	-	-	(5,441)	(5,960)	(2,922)	-	-
Dividends and dividend equivalent rights paid	(3,856)	(3,758)	(3,945)	(3,862)	(3,921)	(3,846)	(4,051)	(3,975)	(4,037)	(3,985)	(4,201)	(4,125)	(15,234)	(15,421)	(15,792)	(16,349)	(16,988)
Repurchase of common stock	(23,606)	(25,898)	(21,075)	(20,132)	(24,701)	(24,000)	(24,000)	(22,000)	(22,000)	(22,000)	(22,000)	(22,000)	(94,949)	(90,711)	(94,701)	(88,000)	(88,000)
Increase (decrease) in long-term borrowing	(1,009)	1,009	4,481	-	(2,164)	-	-	-	-	-	-	-	-	4,481	(2,164)	-	-
Increase (decrease) in notes payable to banks	(7,979)	(75)	(1,780)	(3,241)	(5,948)	-	-	-	-	-	-	-	(6,359)	(13,075)	(5,948)	-	-
Net Cash used in Financing Activities	(39,371)	(29,006)	(24,833)	(27,476)	(39,656)	(27,817)	(28,021)	(25,944)	(26,006)	(25,953)	(26,168)	(26,091)	(121,983)	(120,686)	(121,438)	(104,219)	(104,847)
Increase/(decrease) in Cash and Cash Equivalents	356	(2,137)	8,107	(335)	9,383	(721)	(48)	5,443	9,421	23,231	10,445	(690)	(794)	5,991	14,058	42,406	38,478
Adjustments for restatements	-	-	-	-	-	-	-	-	-	-	-	-	772	-	-	-	-
Cash and Cash Equivalents at Beginning of Period	29,943	30,299	28,162	36,269	35,934	45,317	44,596	44,548	49,992	59,412	82,644	93,088	29,965	29,943	35,934	49,992	92,398
Cash and Cash Equivalents at End of Period	30,299	28,162	36,269	35,934	45,317	44,596	44,548	49,992	59,412	82,644	93,088	92,398	29,943	35,934	49,992	92,398	130,876

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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